

The complaint

Mr C has complained on behalf of a management company about the excess payable when AXA Insurance UK Plc (AXA) accepted a claim made under an all risks commercial insurance policy.

The policy is in the name of a management company, referred to in this decision as S.

What happened

S contacted AXA to make a claim when a resident in one of the flats it managed left a tap on resulting in water causing damage to that, and other, flats. AXA said it would accept the claim under the escape of water part of the policy. However, S said it should be dealt with as accidental damage. An escape of water had a £5,000 excess. Most other claims under the policy had a £250 excess.

Mr C complained to AXA on S's behalf. When AXA replied it maintained its decision to record the claim under the escape of water peril.

So, Mr C complained to this service. Our investigator upheld the complaint. She said that the description of what happened met the definition of accidental damage, so the claim should be considered under that part of the policy.

As AXA did not agree, the complaint has been referred to me.

I issued my provisional decision on 24 March 2021. In my provisional decision, I explained the reasons why I was planning to uphold the complaint. I said:

AXA accepted the claim under the terms of the all risks policy. The main issue to decide in this case is whether AXA should have accepted it as an escape of water. This was the only peril under the policy that had an excess of £5,000. S has argued that it should have been accepted as accidental damage.

As this was an all risks policy, it didn't list every peril that it covered. The policy provided cover for "damage" unless there was a specific exclusion that applied. The policy also had an exclusion for excesses, which specified the relevant excess for an escape of water.

I've looked at a number of policies from a range of insurers to see how they would deal with a claim as a result of a tap being left on. It should be noted that these were standard, rather than all risk, policies. Some of the policies didn't explicitly cover this point, some of the policies explicitly excluded cover for taps being left on under both the escape of water and accidental damage part of the policy. However, the policies that explicitly referred to cover for taps being left on said it was covered under the accidental damage part of the policy and often specified that it wasn't covered as an escape of water. So, I don't think it is typical for a claim relating to a tap being left on to be dealt with as an escape of water and I haven't found any examples where it would normally be classified in that way.

On that basis, I'm currently of the view that AXA shouldn't have dealt with the claim as though it was an escape of water or applied that excess. As this is an all risks policy, and looking at the wording of the policy, I can't see that any exclusions apply. Although Mr C has said he thinks it should be accepted as accidental damage, based on the wording of the policy, in my view it just needs to be accepted as "damage" and the relevant excess applied on that basis.

So, I currently intend to uphold this complaint and to require AXA to accept the claim as damage, rather than an escape of water.

I also intend to say that AXA should pay S £150 for the distress and inconvenience caused. I think that the issue with the excess has resulted in poor service and delays in handling the claim and that this will have had an impact on a number of people, including the flat owners and residents and their ability to repair the damage in a timely manner.

I asked both parties to send me any more information or evidence they wanted me to look at by 23 April 2021. Both parties responded before that date.

S accepted the decision.

AXA disagreed with the decision. It provided a copy of a view issued by an adjudicator from this service a number of years ago, which was about a tap being left on and said it was an escape of water. AXA maintained that that the claim should be considered as an escape of water and the higher excess applied.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've decided to maintain my previous decision that this case is upheld and that the claim should be dealt with as damage. I've considered the points raised by AXA and read the previous case it provided. However, this doesn't cause me to change my decision.

My decision is based on the individual circumstances of this case and I can't comment on the specifics of the other case. But even bearing the principles in mind, it doesn't change my decision. To be clear, I don't consider that what happened in this case was an escape of water. If it was considered as a particular type of damage, it would be accidental damage. So if AXA wishes to classify it as something other than "damage" then this is what it should record it as.

Putting things right

As a result, AXA should accept the claim as damage, or accidental damage, if it wishes to classify it further and charge the appropriate excess. AXA should also pay S £150 compensation for the inconvenience caused by the handling of this claim.

My final decision

For the reasons I've given above and in my provisional decision, my final decision is that the complaint is upheld. I require AXA Insurance UK Plc to:

- Accept the claim as "damage", or accidental damage if it wishes to classify it further, and charge the appropriate excess.
- Pay S £150 compensation for the inconvenience caused in handling the claim.

Under the rules of the Financial Ombudsman Service, I'm required to ask S to accept or reject my decision before 20 May 2021.

Louise O'Sullivan
Ombudsman